

Liquid Environmental Services Operating Benchmark

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SUBVERTICAL LENS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Onsite 8% Route 9%	The 8% onsite estimate reflects installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. The 9% route estimate reflects modestly greater upside from density, cross-sell and treatment throughput.	MEDIUM
EBITDA margin	Onsite 21% Route 28%	The 21% onsite estimate is mechanism-based because RTI has no standalone margin disclosure. The 28% route estimate is set below historical S&P commentary citing LES margins above 30%, allowing for dated evidence, mixed services and third-party disposal.	MEDIUM-LOW
Maintenance capex / revenue	Onsite Not estimated Route 5.0%	Onsite sustaining capital should rise with provider ownership of tanks, pumps, filters and monitoring hardware, shorter replacement cycles and a dispersed installed base. It should fall with long-lived standardized systems, customer-funded installation and dense service routes; route processing remains more exposed to truck and treatment-plant renewal, supporting the retained 5% estimate.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Onsite Not est. / 9 yrs Route Not est. / 7 yrs	Onsite contracts should be longer when the provider funds embedded equipment and bundles monitoring, compliance and maintenance, and shorter when customers own equipment or can switch without removal cost. Route contracts should be longer with dedicated capacity and bundled treatment, but shorter where work is bid per pickup; effective tenure tends to exceed the legal term when reliability and compliance make switching disruptive.	MEDIUM
Utilization exposure	Onsite Moderate Route Moderate-High	Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution.	MEDIUM
New-unit / customer payback	Onsite 2.5 yrs Route 1.25 yrs	The 2.5-year onsite estimate allows recovery of hardware, installation and route support from the full customer relationship. The 1.25-year route estimate applies only to an incremental customer added within an existing dense market.	MEDIUM-LOW
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center.	HIGH

SUBSECTOR CATEGORIES			
Installed onsite oil systems Restaurant Technologies		Commercial liquid-waste routes Liquid Environmental Solutions / Waste Resources Management	Diversified wastewater services Wind River Environmental
Restaurant Technologies INSTALLED ONSITE OIL SYSTEMS		Liquid Environmental Solutions COMMERCIAL LIQUID-WASTE ROUTES	
Reference data. RTI serves 45,000-plus kitchens through 41 depots; about 60% of 2022 revenue was QSR-related, and S&P expected low-teens growth in 2018. RTI advertises average customer savings of \$250 and 9 labor hours per week; current margin, maintenance capex, contract terms and provider contribution are undisclosed. Business. Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems. Economics. Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn.		Reference data. LES expanded from 49 branches/20 recycling facilities historically and 54 branches/24 treatment plants in 2019 to 95 facility or partner sites and 129,500 customer locations by 2026. Historical S&P commentary cited ratings-adjusted EBITDA margins above 30%; current scale includes 670 field vehicles, versus 300-plus vacuum trucks in earlier releases. Business. Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance. Economics. Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts.	
Waste Resources Management COMMERCIAL LIQUID-WASTE ROUTES		Wind River Environmental DIVERSIFIED WASTEWATER SERVICES	
Reference data. WRM serves 10,000-plus clients in four states; a 2026 transaction adds 13 metros, and the company has 300-plus employees. Revenue, EBITDA, maintenance capex and contract terms are undisclosed; the McDonald Farms combination broadens the service mix beyond pure grease routes. Business. Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites. Economics. Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.		Reference data. Wind River has 1,000 vehicles and 16 plants processing 200 million-plus gallons annually across 16 states, plus 90-plus acquisitions and a 75-plus-year operating legacy. It explicitly serves residential and commercial customers; revenue, EBITDA, maintenance capex and contract terms are undisclosed. Business. East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks. Economics. Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn.	